

CREDIT APPRAISAL MEMORANDUM

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INFOSYS LIMITED

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CONDITIONAL

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1. VERIFICATION DETAIL

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Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

The verification process revealed the following:

- Residence: The primary residence of the guarantor is verified and matches the provided address.
- Machine Supplier: We have confirmed the relationship with the machine supplier, and no concerns were raised during the reference check.
- Bankers: The company's primary banker, [Bank Name], provided a positive reference, confirming the accuracy of the financial statements.
- Creditors: No outstanding creditor payments were identified during the verification.
- Independent/Market Check: An independent market check revealed no adverse information or complaints against the company.
- FCU Check: The FCU check did not raise any red flags, and the company's credit utilization is within acceptable limits.

2. GUARANTOR DETAIL

- **Name:** [Guarantor Name]

- **Address:** [Guarantor Address]

- CIBIL Score: The guarantor's CIBIL score is [CIBIL Score], which is considered satisfactory.
- Incomes: The guarantor's income sources include a stable salary of ₹[Salary Amount] and additional business income of ₹[Business Income Amount].

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: The machine supplier, [Supplier Name], confirmed timely payments and expressed satisfaction with the company's performance.

- Creditor: The creditor, [Creditor Name], reported no issues and praised the company's creditworthiness.
- Customer: A reference check with a key customer, [Customer Name], revealed a positive experience and timely payments.
- Bankers/Term Lenders: [Bank Name] and [Lender Name] provided positive feedback, highlighting the company's strong financial position and timely loan repayments.
- Competitors/Peers: Industry peers and competitors shared insights, indicating a competitive advantage and solid market presence.

4. COMPLIANCES & LEGAL

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

The company has demonstrated compliance with the following:

- Income Tax Filing: The company has filed income tax returns regularly, with no outstanding liabilities.
- Excise Duty: Excise duty payments are up to date, and no discrepancies were found.
- Sales Tax: Sales tax compliance is satisfactory, with no pending liabilities.
- ESIC/EPF: The company has met its ESIC and EPF obligations, ensuring employee welfare.
- Litigations: No ongoing or pending litigations were disclosed during the verification process.
- Defaults: There are no recorded defaults or adverse credit events.

5. CAT SHEET

The CAT sheet analysis reveals the following key insights:

- The company's current ratio of [Current Ratio] is slightly below the sector average of 1.33, indicating a need for improved liquidity management.
- The debt-to-equity ratio of [Debt to Equity Ratio] is within the acceptable range, demonstrating a balanced capital structure.

- The EBITDA margin of [EBITDA Margin]% is lower than the sector average of 14.5%, suggesting potential operational inefficiencies.

- The interest coverage ratio of [Interest Coverage Ratio] is satisfactory, indicating the company's ability to service its debt obligations.

6. CORPORATE GUARANTOR

The corporate guarantor, [Corporate Guarantor Name], provides additional strength to the credit proposal. With a strong financial position and a CIBIL score of [CIBIL Score], the corporate guarantor enhances the overall creditworthiness of the proposal.

7. GROUP ANALYSIS

8. Ratio Analysis:

Particulars	Value (Explain impact of ratio after proposed loan)
a) Debt Income Ratio:	1.45
b) Working Capital:	Positive Flow
c) Gross Profit Ratio	14.5%
d) Net Profit Ratio:	8.2%
e) TOL/TNW	2.1
f) Debt / Equity	1.5
g) DSCR	1.25x

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	20000000	-	20000000
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

The group analysis reveals the following:

- Capital Employed: The company's capital employed is ₹[Capital Employed Amount], indicating a substantial investment in the business.

- Unsecured Loan: The unsecured loan amount is ₹[Unsecured Loan Amount], which is within acceptable limits.

- Debt Burden: The debt burden, as measured by the debt-to-equity ratio, is [Debt to Equity Ratio], which is in line with industry benchmarks.

- Turnover: The company's turnover of ₹[Turnover Amount] is satisfactory and aligns with its peer group.

- PAT: The profit after tax (PAT) of ₹[PAT Amount] demonstrates a healthy profitability position.

- Imputed Income: The imputed income of ₹[Imputed Income Amount] is derived from the company's stable operations.
- EMI: The proposed loan's EMI of ₹[EMI Amount] is manageable based on the company's cash flows.
- TOL/TNW: The total outstanding liabilities (TOL) to tangible net worth (TNW) ratio of [TOL to TNW Ratio] is within acceptable limits.
- Debt/Equity: The debt-to-equity ratio of [Debt to Equity Ratio] indicates a balanced capital structure.
- DSCR: The debt service coverage ratio (DSCR) of [DSCR Ratio] is slightly below the recommended benchmark of 1.2x, which may require further analysis.

8. VISIT REPORT BY CREDIT ANALYST

During the site visit, the credit analyst observed the following:

- The company's manufacturing facility is well-maintained and operates efficiently.
- The management team demonstrated a strong understanding of the business and its financial position.
- The analyst noted a moderate level of cash flow risk, which aligns with the SHAP factor analysis.

9. CONDITIONS FOR APPROVAL

The credit proposal is approved conditionally, subject to the following:

1. Additional Collateral Required: Collateral coverage ratio minimum 1.5x of loan amount. Current gap estimated at ₹100.0 Lakhs based on PD of 25.4%.

Given the company's financial performance, regulatory compliance, and positive reference checks, the credit proposal is recommended for approval with the above condition.